

India's nuclear isolation for the past three-and-a-half decades. This is all about getting the foundation right, based on trust and mutual respect that will open all commercial opportunities between the two countries and not just on the energy imperative."

Yeah, yeah—everyone knows it's really all about moolah and big business. If the deal comes through, India would be importing anything between six to 12 reactors to meet the revised nuclear power target of 40,000 MW by 2030. Though American companies would face stiff competition from Russia and France, a freed-up Indian nuclear civilian industry will open up as much as \$30 billion (Rs 1,20,000 crore) in just the reactor business. That's hardly small change when you consider that currently, the bilateral trade between India and the US amounts to just \$32 billion (Rs 1,28,000 crore). Also, as US officials explain, even if India buys just two reactors, it would indirectly provide employment to 15,000 Americans.

It is also true that moving the nuclear boulder out of the way would throw up a whole lot of other business opportunities. Whether in space science, military hardware or high-tech items, the major stumbling block has been the American law that bans US companies from selling products that may have "dual-use technologies" to India. The most high-profile case in point happened in the late 1980s, when the US refused to supply a Cray XMP Supercomputer to India fearing that its computing power could be used to build missiles.

With a comprehensive list of such technologies being drawn up, it was a huge dampener for trade; at times, even small items like computer chips were banned. The nuclear deal, if it comes through, will dismantle the

HOW THE US BENEFITS

If the deal comes through, its civilian nuke industry can compete for the \$30-billion India market

DISMANTLING OF THE TECH DENIAL REGIME OPENS A WHOLE NEW RANGE OF BUSINESS OPPORTUNITIES IN INDIA FOR US COMPANIES

To create a favourable balance of power, India needs to be built as a counterweight to China

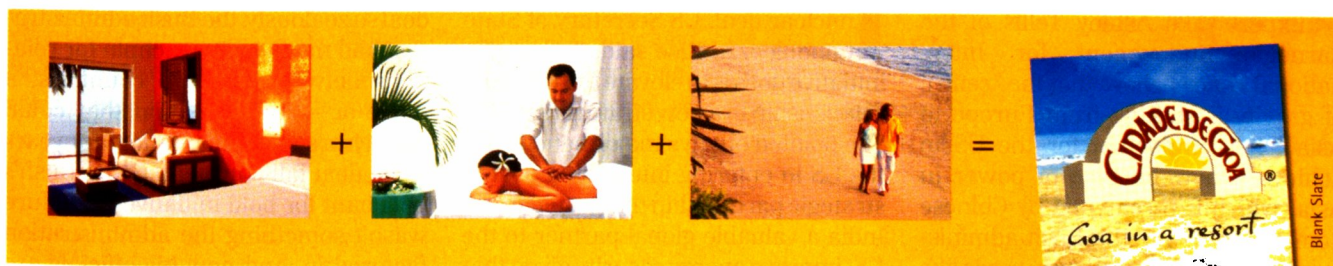
BY PROVIDING INDIA WITH OPTIONS FOR ENERGY, IT REDUCES THE WORLDWIDE COMPETITION FOR SCARCE HYDROCARBON RESOURCES

Bringing India into the nuclear regime boosts non-proliferation efforts without undermining NPT

technology denial regime that the US has been building up so assiduously over the years, freeing up major constraints in Indo-US trade in the process. This includes offering its frontline fighter aircraft for sale in response to India's tender for 126 aircraft at a cost of \$10 billion (Rs 40,000 crore), in what is considered to be the largest defence deal in recent times. The US is keen to have a level playing field. As a senior executive of a major US defence company says: "If India can buy from France and Russia, there is no reason why it shouldn't buy from us as well." He argues that it would give India the bargaining power to deal with traditional sellers.

While business is a major driver for the deal, it would be incorrect to conclude that it was the decisive factor for the US. Nicholas Burns, the articulate US under-secretary of state for political affairs and a key negotiator, points to several developments over the past 15 years that have significantly changed US perception about India. The collapse of the Soviet Union meant the end of the Cold War, which had pitted India against America for many years. In the 1990s, with liberalisation and economic reforms, the Indian economy began to grow at a rate that made even US investors sit up and take note. Suddenly India's burgeoning middle class offered a whole new market for the US goods and services. Then, at the turn of the century, the global order began to undergo "a tectonic shift", as Burns puts it, and India emerged "as a global force which was obvious for all to see".

There were other cross-currents as well. In late 2004, the National Intelligence Council, a conglomeration of US intelligence agencies, concluded in a report titled 'Mapping a Global Future': "The likely emergence of



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